

Debt-Free Roadmap

Prepared for **Ronnie** | Alber Joe's Financial Advising | July 19, 2026

Client profile: Ronnie, 34, single, U.S. military veteran, lives in Washington State (renter). **Goal:** become completely debt-free as fast as possible so he can marry his girlfriend. **Client instructions we honored:** (1) his car will **not** be sold; (2) his monthly living budget will **not** be changed in any way; (3) everything else (all investments, savings and cash) may be used. All investments sit in his regular taxable Fidelity brokerage account.

The bottom line up front: Ronnie owes **\$80,881** across five debts. By selling his investments, using most of his cash, and then committing **\$3,400 per month** from his strong income surplus, he can be **100% debt-free by mid-July 2027 — about 12 months from today** — while paying only about **\$730 of total interest** along the way (instead of the roughly \$930 in interest his debts currently generate *every single month*). An *instant* payoff is not possible — even selling every permitted asset covers only about half of the debt — so this 12-month plan is the fastest path that exists under his constraints.

SECTION 1 — WHERE RONNIE STANDS TODAY (Current Financial Position)

1.1 What Ronnie owns (Assets)

Ronnie's assets fall into four groups: money in the bank, individual stocks, an S&P 500 index fund, and cryptocurrency — plus his car. Market values below use the prices Ronnie supplied (market close of **July 13, 2026**); prices move daily, so exact sale proceeds will differ slightly.

Asset	Value	Notes
Physical cash	\$1,000	Available immediately
Checking account	\$1,967	Used for daily bills
Savings account	\$3,000	Available immediately
Car	\$22,000	NOT for sale (client instruction) — kept for work transportation
Subtotal — cash & property	\$27,967	

Stock (lot)	Purchased	Cost	Shares	Price now	Value now	Gain / Loss
Apple (AAPL)	Dec 30, 2022	\$900	6.98	\$314	\$2,192	+\$1,292
AMD	Apr 6, 2024	\$1,000	5.88	\$558	\$3,281	+\$2,281
NVIDIA (NVDA) — lot 1	Aug 13, 2025	\$799	4.39	\$208	\$913	+\$114
NVIDIA (NVDA) — lot 2	Jan 30, 2026	\$900	6.92	\$208	\$1,439	+\$539
Micron (MU)	Jul 16, 2025	\$400	3.48	\$955	\$3,323	+\$2,923
Palantir (PLTR)	Aug 13, 2025	\$1,400	8.92	\$128	\$1,142	–\$258
SanDisk (SNDK)	Jul 16, 2025	\$350	7.78	\$1,749	\$13,607	+\$13,257
Tesla (TSLA) — lot 1	Sep 15, 2022	\$225	0.74	\$395	\$292	+\$67
Tesla (TSLA) — lot 2	Jul 9, 2025	\$772	2.57	\$395	\$1,015	+\$243

Stock (lot)	Purchased	Cost	Shares	Price now	Value now	Gain / Loss
Western Digital (WDC)	Aug 13, 2025	\$650	9.03	\$563	\$5,084	+\$4,434
Subtotal — stocks		\$7,396			\$32,289	+\$24,893

S&P 500 index fund lots	Invested	Units bought	Value now (index at 7,515.34)
Mar 3, 2017	\$250	0.1049	\$788
Dec 5, 2017	\$423	0.1609	\$1,209
Feb 9, 2018	\$400	0.1527	\$1,148
Oct 2018	\$378	0.1366	\$1,027
Jan 2020	\$662	0.2053	\$1,543
Feb 2021	\$488	0.1268	\$953
Aug 20, 2023	\$569	0.1302	\$978
Jul 8, 2025	\$677	0.1088	\$818
Subtotal — index fund		\$3,847	1.1262 \$8,464 (gain +\$4,617)

Cryptocurrency	Purchased	Cost	Coins	Price now	Value now	Gain / Loss
Cosmos (ATOM)	Apr 5, 2025	\$325	76.47	\$1.53	\$117	-\$208
Bitcoin (BTC)	Jan 11, 2025	\$500	0.00532	\$63,042.54	\$335	-\$165
Hedera (HBAR)	Mar 10, 2023	\$200	3,226	\$0.068	\$219	+\$19
Ethereum (ETH)	May 2, 2023	\$500	0.267	\$1,760	\$470	-\$30
Subtotal — crypto		\$1,525			\$1,142	-\$383

TOTAL ASSETS	\$69,861	Usable for debt payoff (everything except the car): \$47,861
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1.2 What Ronnie owes (Liabilities)

Ronnie has **five confirmed debts totaling \$80,881**. The interest rate (APR) tells us how fast each debt grows if unpaid — the three credit cards are the emergency here, growing at 19–26% per year.

Debt	Balance	APR (yearly interest)	Required min. payment	Interest cost if untouched
Bank of America credit card	\$13,999	26%	\$440 / mo	≈ \$303 / mo
Chase credit card	\$16,857	21%	\$279 / mo	≈ \$295 / mo
American Express credit card	\$12,888	19%	\$330 / mo	≈ \$204 / mo
Student loan	\$25,637	6%	\$500 / mo	≈ \$128 / mo
Medical debt loan	\$11,500	0%	None listed in documents	\$0 / mo
TOTAL DEBT	\$80,881		\$1,549 / mo	≈ \$931 / mo

Items reviewed and excluded from Ronnie's debt (with reasons):

Item	Amount	Why it is excluded
Synchrony account	\$9,240	Document is clearly marked “Paid in Full: 12/20/2024.” No longer owed.
U.S. Bank account	\$12,122	Same document, same “Paid in Full: 12/20/2024” marking. No longer owed.
Speeding ticket	—	Client note confirms it was paid in full on 1/29/2023.
Discover credit card	\$6,792	Document is labeled “Ronnie's Girlfriend” — this is her debt, not Ronnie's. His goal (being personally debt-free) does not include it.
Capital One / Citi / Barclays cards	\$29,055	(!) FLAGGED — see below. Document is labeled “Ronny” (different spelling), and these three cards are absent from the official minimum-payment summary that lists all of Ronnie's accounts. Treated as not Ronnie's debt, pending verification.

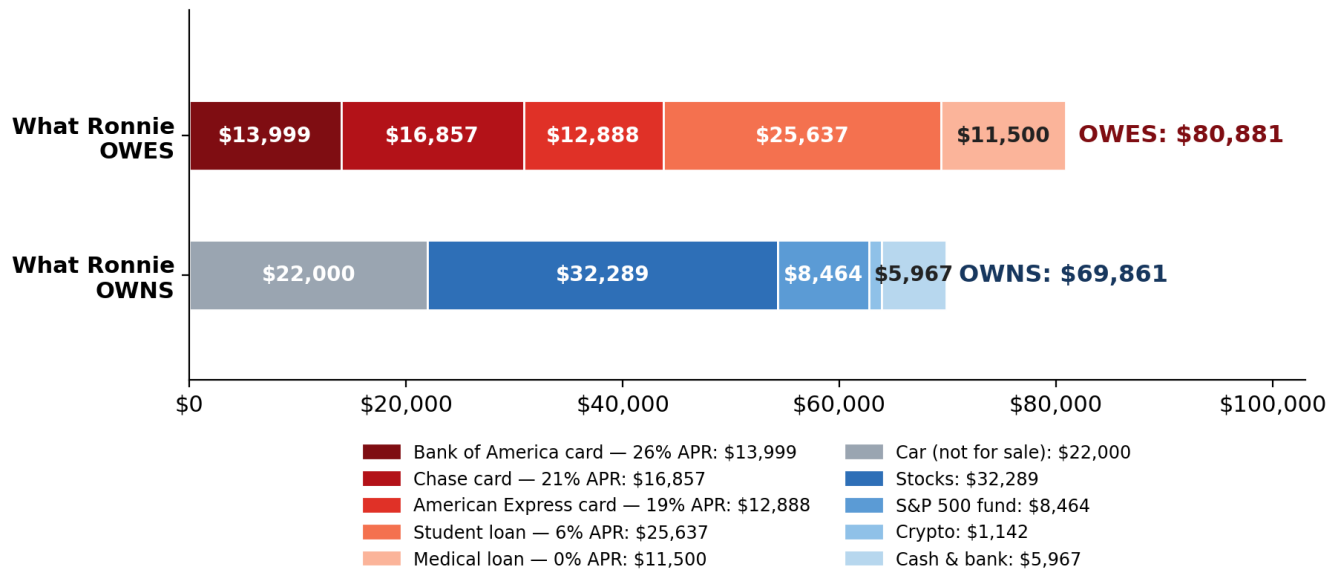
(!) ADVISOR VERIFICATION REQUIRED: One chart shows credit cards for “Ronny” — Capital One \$8,872 (25% APR), Citi \$11,000 (24% APR), Barclays \$9,183 (18% APR). Every other document consistently spells the client's name “Ronnie,” and these three cards do not appear in the minimum-payment summary covering Ronnie's accounts. Because of this inconsistency we judged the document untrustworthy as evidence of Ronnie's debt and built the plan without it — but this must be confirmed with the client. **If these cards turn out to be his, the plan still works unchanged in structure, but debt-freedom moves from July 2027 to roughly May 2028** (see contingency note in Section 3).

1.3 What Ronnie earns (Income Statement)

Income source	Per year	Per month	Taxed?
Job salary (stated as pre-tax)	\$72,000	\$6,000	Yes — federal income tax + payroll tax (see estimate)
VA disability compensation	\$36,000	\$3,000	No — VA disability is tax-free by federal law
Total income (gross)	\$108,000	\$9,000	
Estimated taxes on salary (federal income tax ≈ \$7,010 + Social Security/Medicare ≈ \$5,508)	– \$12,518	– \$1,043	Washington State has no state income tax
ESTIMATED TAKE-HOME INCOME	≈ \$95,482	≈ \$7,957	

The salary document explicitly labels the \$72,000 as “Pre-Tax,” so we estimated 2026 federal taxes for a single filer taking the standard deduction. VA disability is never taxed. Actual paycheck withholding should be confirmed against a recent pay stub.

Snapshot — What Ronnie Owns vs. What He Owes (July 19, 2026)

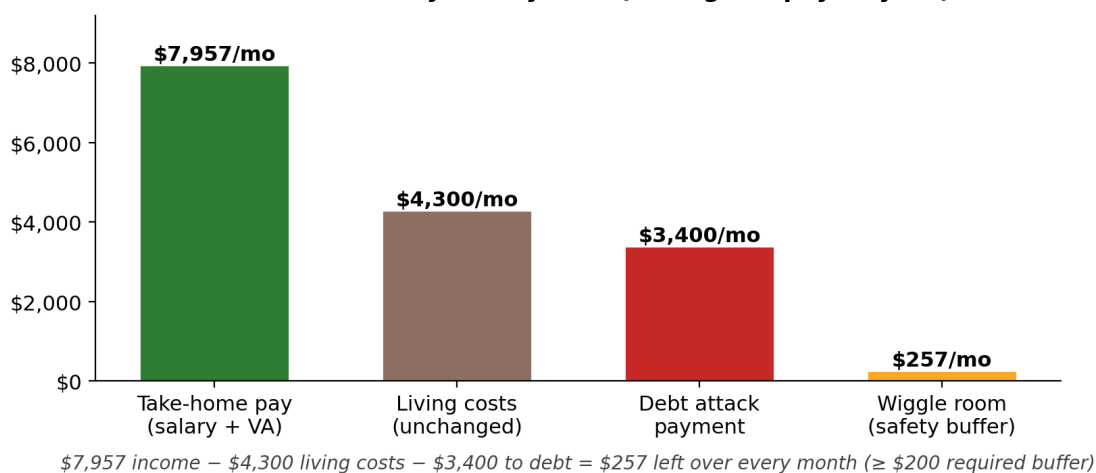


SECTION 2 — FINANCIAL HEALTH CHECK

RATING: PROBLEMATIC (scale: Healthy → Manageable → Problematic → Dire)

Measure	Ronnie's number	What it means in plain language
Net worth (owns minus owes)	−\$11,020	Even selling everything including the car would leave ≈ \$11,000 still owed. Being “under water” is a serious warning sign.
Total debt vs. yearly income	\$80,881 vs. \$108,000 (75%)	He owes three-quarters of a full year's gross pay.
Interest piling up right now	≈ \$931 every month	Doing nothing costs ≈ \$31/day, \$11,200/year — money burned with nothing to show for it.
High-interest (19–26%) card debt	\$43,744	Over half his debt grows at rates almost no investment can reliably beat.
Required minimum payments	\$1,549 / mo	Minimums alone would keep him in debt for decades and cost tens of thousands in interest.
Monthly income left after living costs	≈ \$3,657 (46% of take-home)	His superpower: a large, steady surplus that can crush debt quickly.
Assets available to fight debt	\$47,861 before taxes	Selling permitted assets instantly removes over half the debt.

Ronnie's Monthly Money Plan (during the payoff year)



Why “Problematic” and not another rating?

Not “Healthy” or “Manageable”: Ronnie's net worth is negative, his debt equals 75% of his gross annual income, and \$43,744 of it sits on credit cards charging 19–26% — compounding faster than savings or typical investments can grow. On autopilot (minimums only), this gets worse, not better — ruling out the two higher ratings.

Not “Dire”: Dire means the math no longer works — income can't cover bills, or no realistic way out exists. Ronnie is the opposite: his income is strong and stable (\$7,957/mo take-home, including \$3,000 of tax-free VA disability that arrives regardless of employment), living costs are fully covered with ≈ \$3,657 to spare monthly, and his sellable assets can wipe out more than half the debt on day one. He is one decisive year from a clean slate. Hence: **Problematic** — urgent action required, full recovery expected.

SECTION 3 — THE ROADMAP: DEBT-FREE BY MID-JULY 2027

Strategy in one paragraph (and why)

1) Sell all investments; keep the car. Ronnie's cards charge 19–26% per year — paying one off is a *guaranteed, tax-free* 26% return, which no stock, index fund or coin can reliably promise (markets average roughly 8–10% a year and can fall). Keeping investments while carrying card debt is mathematically losing. The car stays — Ronnie said so, and he needs it to get to the job that funds this whole plan. **2) Attack debts from the highest interest rate down** (the “avalanche” method: 26% → 21% → 19% → 6% → 0%), because every dollar aimed at the most expensive debt saves the most interest. The 0% medical loan goes last — it costs nothing to carry. **3) One smart tax pause:** two holdings (WDC and the first NVIDIA lot, bought Aug 13, 2025) become “long-term” on **Aug 14, 2026**, dropping their tax rate from 22% to 15% and saving about \$318. Waiting three weeks on just those two does **not** delay the final debt-free date, so it is free money.

Can Ronnie be debt-free instantly? (timeline reality check)

No — and it is important to say so plainly. Ronnie wants this done “as soon as possible.” Selling every permitted asset raises about \$41,894; adding his \$5,967 of cash, then subtracting the ≈ \$4,400 tax set-aside and a \$967 checking cushion, leaves ≈ \$42,494 to deploy — only about **53%** of the \$80,881 owed. An immediate payoff is therefore impossible. The roadmap below is the **fastest legally and financially sound path that exists** for him: **12 months, finishing mid-July 2027**, with total interest of only about \$730.

STEP-BY-STEP PLAN (follow in this exact order)

STEP 1 — This week (by July 31, 2026): sell, gather, and strike

A. Sell these investments now (all are past the 1-year mark or are small/losing positions, so no benefit in waiting): all stocks except WDC and NVIDIA lot 1 — that is AAPL \$2,192 + AMD \$3,281 + NVDA lot 2 \$1,439 + MU \$3,323 + PLTR \$1,142 + SNDK \$13,607 + both Tesla lots \$1,307 = **\$26,292**; the entire S&P 500 fund = **\$8,464**; all crypto (ATOM, BTC, HBAR, ETH) = **\$1,142**. **Total raised ≈ \$35,897.**

B. Immediately move \$4,400 into the savings account and do not touch it — this is the tax set-aside for the IRS (full math in the tax box below). Selling investments for a profit creates a tax bill even though the money goes to debt.

C. Gather cash: \$1,000 physical cash + \$3,000 savings + \$1,000 from checking = **\$5,000** (leave \$967 in checking as a day-to-day cushion).

D. War chest: $\$35,897 + \$5,000 - \$4,400 \text{ tax set-aside} = \$36,497$. **Fire it at the worst debts, in this order, before their next due dates:**

1. Pay **Bank of America \$13,999** (26% APR — the most expensive dollar he owes) → **CARD DEAD**. Left: \$22,498.
2. Pay **Chase \$16,857** (21% APR) → **CARD DEAD**. Left: \$5,641.
3. Pay **\$5,641 toward American Express** (19% APR) → balance drops to **\$7,247**. Left: \$0.

Why this order: highest interest rate first saves the most money — \$30,856 of debt at 21–26% vanishes in week one, and with it about \$600/month of interest. Cut up all three cards; do not add new charges.

STEP 2 — August 2026: final sale + kill American Express

A. On or after August 14, 2026 (the day they qualify for the lower 15% long-term tax rate): sell **WDC = \$5,084** and **NVIDIA lot 1 = \$913** → **\$5,997**.

B. Pay the student loan's required \$500 minimum (as every month).

C. Send the \$5,997 + the remaining \$2,900 of August's \$3,400 debt budget to American Express. Its balance (≈ \$7,362 with August interest) is wiped out, with ≈ **\$1,535 left over** — send that straight to the student loan.

Milestone: ALL credit cards are gone within ~4 weeks of starting. Remaining debt ≈ \$35,230 (student loan ≈ \$23,730 at 6% + medical \$11,500 at 0%). Monthly interest burn has collapsed from ≈ \$931 to ≈ \$119.

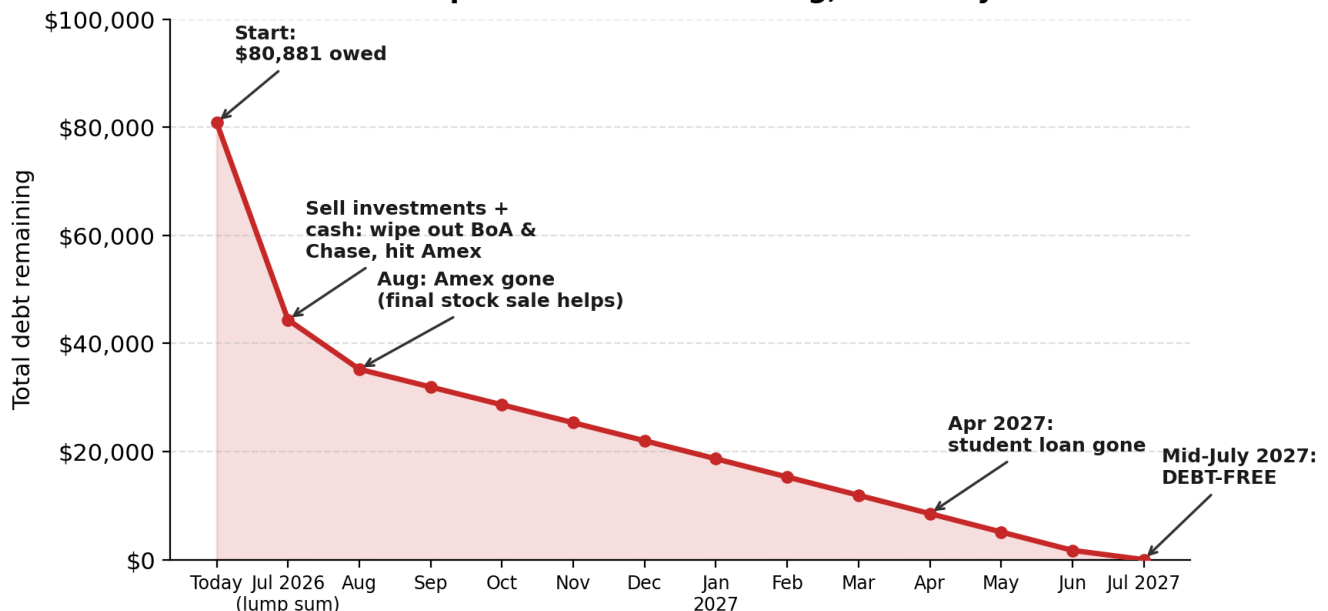
STEP 3 — September 2026 → April 2027: steady \$3,400/month destroys the student loan

Every month, out of ≈ \$7,957 take-home: pay the \$4,300 of living costs (untouched, per Ronnie's instruction), send **\$3,400 to the student loan** (\$500 required minimum + \$2,900 extra), and keep ≈ **\$257 wiggle room** (above the \$200 safety minimum — for small surprises; if unspent, it builds a cushion of a few hundred dollars a month). The student loan shrinks by roughly \$3,280 net per month and the **final ≈ \$415 payment lands in April 2027**. The medical loan is intentionally ignored until now because at 0% it grows by nothing while the 6% loan grows every month.

STEP 4 — April → mid-July 2027: sweep out the medical loan

April 2027's leftover ≈ \$2,985 (after finishing the student loan) goes to the medical loan, then \$3,400 in May, \$3,400 in June, and a final ≈ **\$1,715 in early-to-mid July 2027**. Balance: **\$0.00 — RONNIE IS 100% DEBT-FREE**. Time to ring-shop. From August 2027 onward, the full ≈ \$3,657 monthly surplus is his again — ideal for rebuilding an emergency fund (3–6 months of costs ≈ \$13,000–26,000) and then saving for the wedding.

The Roadmap: Total Debt Remaining, Month by Month



Month-by-month payoff schedule (balances after each month's payments)

Month	Money aimed at debt	What it does	Total debt left
Jul 2026 (week 1)	\$36,497 lump sum	Bank of America ✓ PAID • Chase ✓ PAID • Amex cut to \$7,247	\$44,384
Aug 2026	\$3,400 + \$5,997 final sale	Amex ✓ PAID • student loan min + \$1,535 extra	\$35,230
Sep 2026	\$3,400	Student loan	\$31,949
Oct 2026	\$3,400	Student loan	\$28,651
Nov 2026	\$3,400	Student loan	\$25,337
Dec 2026	\$3,400	Student loan	\$22,006
Jan 2027	\$3,400	Student loan	\$18,658
Feb 2027	\$3,400	Student loan	\$15,294
Mar 2027	\$3,400	Student loan	\$11,913
Apr 2027	\$3,400	Student loan ✓ PAID (final \$415) • \$2,985 to medical	\$8,515
May 2027	\$3,400	Medical loan	\$5,115
Jun 2027	\$3,400	Medical loan	\$1,715
Jul 2027	≈ \$1,715 (half the budget)	Medical loan ✓ PAID	\$0 — DEBT-FREE

Figures include monthly interest on remaining balances (26%/21%/19%/6%/0% yearly rates divided by 12). Total interest paid under this plan: ≈ **\$728**. All required minimum payments are always covered: the three cards are eliminated before more than one cycle of minimums is due, and the student loan's \$500 minimum is inside the \$3,400 every month.

The tax box — exactly what the \$4,400 set-aside covers

Item	Amount	Plain-language explanation
Long-term profits (assets held over 1 year)	\$28,845 gain → tax ≈ \$4,327	Taxed at the lower 15% federal rate. Includes the big SanDisk win (+\$13,257), MU, AAPL, AMD, Tesla, the index fund, and WDC/NVDA lot 1 after the Aug 14 wait. Crypto's \$383 of losses legally shrinks this taxable gain.
Short-term profits (held under 1 year)	\$281 net gain → tax ≈ \$62	NVDA lot 2's \$539 gain minus Palantir's \$258 loss, taxed like salary (≈ 22%).
Washington State tax	\$0	No state income tax; WA's capital-gains tax only starts above ~\$270,000 of yearly gains — Ronnie is far below.
Total set aside	≈ \$4,389 → reserve \$4,400	Keep it in savings. Safest move: send it to the IRS as a quarterly estimated payment by Sept 15, 2026 so no penalty or surprise bill hits at tax time (April 2027).

Contingency — if verification shows the “Ronny” cards ARE Ronnie's

Total debt would rise to \$109,936. Same playbook, re-ordered by interest rate: the July lump sum would instead kill Bank of America (26%), Capital One (25%) and Citi (24%) in full and cut Chase to \$14,231; the \$3,400/month then clears Chase (Oct 2026), Amex (Feb 2027), Barclays (May 2027), the student loan (Jan 2028) and the medical loan — **debt-free ≈ May 2028 (about 22 months)**. This is why confirming ownership of those three cards is the advisor's first agenda item — it changes the wedding timeline by roughly ten months.

Rules that keep the plan alive

- **No new debt.** Cards get cut up the day they're paid. Debit card and cash only.
- **The \$3,400 transfer happens on payday, first thing** — pay the debt before anything optional can absorb the money.
- **The \$4,400 tax reserve is not spendable.** It belongs to the IRS.
- **The living budget stays exactly as it is (\$4,300)**, per Ronnie's explicit instruction — no changes were assumed or suggested to any category.
- If a true emergency swallows a month's surplus, pause the *extra* payments, never the required minimums, and resume the next month — the end date slips by only as long as the pause.

FLAGS, JUDGMENT CALLS & ASSUMPTIONS (for the reviewing advisor)

1. “Ronny” vs. “Ronnie” (HIGH priority)

Capital One/Citi/Barclays chart (\$29,055) is titled “Ronny” and those accounts are missing from the minimum-payment summary of Ronnie's accounts. Excluded from the base plan as untrustworthy for this client; contingency plan provided. Must be verified with the client before execution.

2. Girlfriend's Discover card (\$6,792, 18%)

Explicitly labeled as belonging to Ronnie's girlfriend — excluded. Note: her stated condition is that *Ronnie* be debt-free. If the couple later wants her card addressed, that is a separate engagement.

3. Debts confirmed already paid

Synchrony (\$9,240) and U.S. Bank (\$12,122) are marked “Paid in Full 12/20/2024”; the speeding ticket was paid 1/29/2023. All excluded. We read the “Paid in Full” banner as applying to both accounts on that document — worth a one-line confirmation.

4. Medical loan minimum payment

No minimum payment appears in any document (the minimum-payment summary covers only the cards and student loan). Plan assumes no required monthly payment and schedules it last (0% APR). Advisor should confirm the payment agreement's terms so no default is triggered by paying it last.

5. Prices are 6 days old

All stock/index/crypto values are July 13, 2026 closing prices supplied by the client (treated as “today's” per his note); share counts are approximate (“~” in source files). Actual sale proceeds will differ modestly; the monthly surplus absorbs normal drift. A sharp market drop before selling would extend the timeline slightly.

6. Tax figures are estimates

2026 single-filer federal brackets and standard deduction were estimated; salary withholding (≈ \$1,043/mo) should be checked against a real pay stub, and the capital-gains math assumes no other income or deductions. A CPA or tax software should confirm before the Sept 15, 2026 estimated payment.

7. Thin emergency cushion (accepted trade-off)

Plan leaves \$967 in checking plus \$257/month of wiggle room, prioritizing speed per Ronnie's wishes. Standard practice prefers a larger emergency fund; his tax-free \$3,000/mo VA disability (guaranteed income) and the \$4,400 reserve partially offset the risk. Advisor should discuss explicitly.

8. Minor data quirks (no impact)

Some index-fund purchase dates carry footnote marks (*, **, ***) whose footnotes were not provided — treated as approximate dates; all lots are long-term regardless. Several files were mislabeled (e.g., a file named "Crypto" containing bank balances; debt charts named after the wrong banks); all data was mapped by content, not filename. Pay frequency was not stated; income treated as available monthly.

9. No retirement accounts found

Client confirms all investments are in a regular taxable Fidelity account, so no early-withdrawal penalties apply to any sale in this plan.

DISCLAIMER: This roadmap was generated by an AI system as **decision support** for a licensed professional at Alber Joe's Financial Advising and the client. It is **not** formal financial, tax, investment, or legal advice. All balances, prices, tax estimates and dates should be verified against source records before any asset is sold or any payment is made. Market prices change daily and tax rules change by year; a qualified advisor and tax professional must review and approve this plan before execution.